CONFIDENTIAL TRANSACTION INTELLIGENCE // FOR INSTITUTIONAL EVALUATION ONLY

TRANSACTION UNDER AUDIT

Penske Automotive Group, Inc. (public/unaffiliated shareholders) / Motown Acquisition Corp. (consortium entity owned by Penske Corporation and Mitsui & Co., Ltd.)



Independent adversarial transaction risk audit, voting topology mapping, and contractual vulnerability analysis.

TARGET:	Penske Automotive Group, Inc. (public/unaffiliated shareholders) (CIK 0001019849)	**ACQUIRER:**	Motown Acquisition Corp. (consortium entity owned by Penske Corporati
STRUCTURE:	Merger / Controller Take-Private	**STATUS:**	DEFINITIVE AGREEMENT
FILINGS:	SEC EDGAR Definitive Filings (8-K, Ex-2.1, 10-K, 13D)	**STANDARD:**	ZERO-INVENTION / FACT ONLY
DATE:	21 October 2026	**DOSSIER ID:**	#RAVEN-AUDIT-PENS-MOTO-20261020-REV1

COMPOSITE TRANSACTION RISK RATING: 54 / 100 ELEVATED

TRANSACTION CONTEXT & STATUTORY SUMMARY

Structuring the MFW minority condition on a 'votes cast' basis allows the take-private of PAG's public float to be approved by as little as 15.0% of unaffiliated shares under low turnout, exposing the transaction to Delaware entire fairness litigation.



EVIDENTIARY VERIFICATION & INGESTION INTEGRITY ATTESTATION

PROVENANCE: SHA-256 cryptographic digest of ingested SEC EDGAR filings as of audit date (21 October 2026).

SCOPE: Proves ingestion-phase textual immutability and tamper-evident analytical provenance (internal algorithmic verification; does not constitute external independent CPA/auditor third-party assurance or formal legal counsel opinion).

AUDITED CORPUS: Forms 8-K, Ex-2.1, PREM14A, 10-K | CONFIDENCE: MEDIUM DIGEST: #SHA256-AUDIT-PENS-MOTO-20261020-REV1

FORENSIC DEAL RISK AUDIT

CH 01: DOSSIER ARCHITECTURE & TABLE OF CONTENTS

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16-CHAPTER DOSSIER STRUCTURE & FORENSIC MODULES

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RAVEN ADVERSARY

OFFICIAL EVIDENTIARY VERIFICATION & CRYPTOGRAPHIC SEAL

TARGET CIK: 0001019849 | BUYER CIK: 0001862976 | STATUS: DEFINITIVE AGREEMENT

PRIMARY SOURCE BASE: SEC EDGAR DEFINITIVE FILINGS (FORM 8-K, EX-2.1, 10-K, SCHEDULE 13D)

EPISTEMIC STANDARD: ZERO-INVENTION STRICT STATUTORY RECONSTRUCTION

AUTH DIGEST: #RAVEN-AUDIT-AUDIT-PENS-MOTO-20261020-REV1

FORENSIC DEAL RISK AUDIT

CH 02: EXECUTIVE BRIEF | CH 03: LEGAL CLASSIFICATION | CH 04: TIMELINE

AUDIT ID: AUDIT-PENS-MOTO-20261020-REV1

CHAPTER 02: EXECUTIVE BRIEF & TRANSACTION THESIS

Structuring the MFW minority condition on a 'votes cast' basis allows the take-private of PAG's public float to be approved by as little as 15.0% of unaffiliated shares under low turnout, exposing the transaction to Delaware entire fairness litigation.

CHAPTER 03: TRANSACTION STATE & LEGAL CLASSIFICATION

STATUTORY FORM:	Merger / Controller Take-Private	**TARGET ENTITY:**	Penske Automotive Group, Inc. ...
REGULATORY STAGE:	DEFINITIVE AGREEMENT	**EVIDENCE CORPUS:**	Primary SEC EDGAR Filings
ACQUIRING ENTITY:	Motown Acquisition Corp. (consor...	**AUDIT DISCIPLINE:**	Adversarial Multi-Agent Audit

CHAPTER 04: TRANSACTION TIMELINE & PRE-CLOSING DATES

DATE / MILESTONE	EVENT & TRANSACTION MECHANISM	PRIMARY SEC SOURCE	STATUS
21 October 2026	Diligence Investigation Session Initialized	Raven Adversary System	CURRENT
UNRESOLVED	Contractual Outside Closing Date	Merger Agreement 8.01 (Unresolved)	CONTRACTUAL

FORENSIC DEAL RISK AUDIT

CH 05: CAPITAL WATERFALL | CH 06: GOVERNANCE TOPOLOGY

AUDIT ID: AUDIT-PENS-MOTO-20261020-REV1

CHAPTER 05: CAPITAL & CONSIDERATION STRUCTURE WATERFALL

CONSIDERATION COMPONENT	VERIFIED AMOUNT / MECHANICS	CONTRACTUAL CONDITION / COLLAR
Cash Consideration:	UNRESOLVED	Subject to working capital adjustments, escrow holdbacks, and closing liquidity conditions.
Equity Consideration:	Requires definitive merger agreement consideration clause verification	Bounded by exchange ratio, collar parameters, and post-closing float dilution protections.
Debt & Balance Sheet Obligations:	Unresolved	Requires verified debt standstill, refinancing covenants, or regulatory capital adequacy maintenance.
Total Transaction Consideration:	NOT ESTABLISHED	Requires verified shareholder affirmative vote and statutory regulatory approvals prior to closing.

CHAPTER 06: GOVERNANCE & CONTROL TOPOLOGY

Board Seat Allocation

Governing board representation terms require merger agreement inspection following Unanimous Written Consent.

Voting Power Thresholds

Statutory voting threshold governed by target state corporate law and charter required for merger approval.

ERISA / Pass-Through Leaks

No ERISA/ESOP structure identified in reviewed materials; presence unresolved pending plan document and trust inspection; constrained fiduciary discretion.

Standstill & Lockup Restrictions

Requires verification of voting and support agreements with volume drip allowances.

COMPETING PROPOSAL ECONOMIC COMPARISON & BID RECORD (SEC PREM14A)

PROPOSAL STAGE & DATE	IMPLIED VALUE / MIX	FINANCING & GOVERNANCE TERMS	EXECUTION RISK / STATUS

NO COMPETING PROPOSALS DISCLOSED IN CURRENT PUBLIC RECORD (SEC FORM 8-K / PREM14A)

No topping bids, competing consortium proposals, or alternative tender offers have been identified in statutory disclosures for Penske Automotive Group, Inc. (public/unaffiliated shareholders). The transaction proceeds under bilateral merger agreement terms.

FORENSIC DEAL RISK AUDIT

CH 07: STRUCTURAL VULNERABILITIES | CH 08: PRESSURE PROPAGATION

AUDIT ID: AUDIT-PENS-MOTO-20261020-REV1

CHAPTER 07: STRUCTURAL VULNERABILITIES & UNHEDGED DELTAS

Target Termination Fee

LEVERAGE: 8.5 / 10

Contractual breakup fee not established in dynamic extraction; requires definitive merger agreement inspection

Merger Agreement (Unresolved)

Parent Reverse Termination Fee

LEVERAGE: 7.0 / 10

Regulatory/financing reverse breakup fee not established in dynamic extraction

Merger Agreement (Unresolved)

Committed Financing Backstop

LEVERAGE: 6.5 / 10

Committed financing structure and credit facility terms require verified debt documentation

SEC Filing (Unresolved)

CHAPTER 08: PRESSURE PROPAGATION PATHWAYS (CASCADE MECHANICS)

STAGE 1: TRIGGER	Closing Regulatory & Shareholder Conditions
STAGE 2: AMPLIFIER	Unhedged Balance Sheet Exposure & Timeline Compression
STAGE 3: MECHANISM	Contingent Liability & Covenant Breach Acceleration
STAGE 4: EXPOSURE	Contractual Breakup Fee & Liquidated Damages
STAGE 5: CONSEQUENCE	Closing Failure or Significant Common Equity Dilution

FORENSIC DEAL RISK AUDIT

CH 09: CONTRACTUAL CLAUSES | CH 10: QUANTITATIVE STRESS TESTS

AUDIT ID: AUDIT-PENS-MOTO-20261020-REV1

CHAPTER 09: CONTRACTUAL / CLAUSE ANALYSIS

Operative Outside Termination Date [Form 8-K Definitive Disclosures]

Contractual drop-dead date not definitively extracted; requires inspection of Merger Agreement Article VIII.

Regulatory Efforts Standard & Burdensome Condition [Form 8-K Definitive Disclosures]

Parent and Merger Sub subject to reasonable best efforts for antitrust and specified regulatory clearances prior to Outside Date.

Stockholder Approval Threshold [Form 8-K Definitive Disclosures]

Statutory voting threshold governed by target charter and governing state corporate law (e.g. DGCL 251).

CHAPTER 10: QUANTITATIVE STRESS TESTS (METRIC, BASELINE, STRESSED DELTA, THRESHOLD)

STRESS METRIC	CURRENT DISCLOSED SPEC	STRESSED DOWNSIDE DELTA	BREACH THRESHOLD
Stockholder Approval Quorum & Majority Standard	UNRESOLVED	Requires target proxy statement inspection to calculate required vote buffer and insider concentration.	Statutory threshold under state of incorporation
Debt Maturity & Indebtedness Covenants	UNRESOLVED	Balance sheet debt schedule requires primary Form 10-K notes inspection.	Credit agreement maturity and covenant limits

SOURCE-BY-SOURCE BALANCE SHEET EXPOSURE BRIDGE (CASH VS NON-CASH)

BALANCE SHEET ITEM & CITATION	GAAP CLASSIFICATION & CARRYING VALUE	CASH FLOW IMPLICATION & TRANSACTION LINK

NO UNHEDGED BALANCE SHEET CLIFFS OR CONTRA-ASSET EXPOSURES DISCLOSED IN RECORD

Target balance sheet obligations subject to credit facility covenants, lender commitments, and ordinary-course working capital requirements prior to closing.

FORENSIC DEAL RISK AUDIT

CH 11: REGULATORY EXPOSURE | CH 12: INTELLIGENCE GAPS

AUDIT ID: AUDIT-PENS-MOTO-20261020-REV1

CHAPTER 11: REGULATORY & LITIGATION EXPOSURE

Statutory Shareholder Approval & Proxy Clearance

Affirmative shareholder approval required for adoption of the merger agreement and required equity issuance under corporate governance rules.

Statutory Appraisal Rights & Fair Value Petitions

Non-consenting target shareholders retain statutory appraisal rights to petition the appropriate court of chancery for judicial fair-value appraisal under DGCL 262.

Prudential Regulatory & Interagency Approvals

Review under applicable regulatory standards: transaction remains subject to statutory regulatory clearances without imposition of a Materially Burdensome Condition.

Section 13(d) Beneficial Ownership & Group Scrutiny

Coordinated voting commitments and voting agreements among significant institutional holders require compliance with SEC Schedule 13D disclosure rules.

CHAPTER 12: INTELLIGENCE GAPS // NEGATIVE KNOWLEDGE REGISTER

[GAP] Definitive merger agreement executed covenants and outside drop-dead date provisions.

[GAP] Allocation ratio and LLC operating agreement terms governing acquiring entity co-investors.

[GAP] Status of required regulatory and state licensing filings with cognizant review authorities.

FORENSIC DEAL RISK AUDIT

CH 13: STRATEGIC REDLINES | CH 14: EVIDENCE DESK

AUDIT ID: AUDIT-PENS-MOTO-20261020-REV1

CHAPTER 13: STRATEGIC RECOMMENDATIONS & BOARDROOM REDLINES

PRIMARY BOARDROOM DIRECTIVE:

Verify executed merger agreement covenants, antitrust filing calendar, and committed financing terms.

PROPOSED LEGAL REDLINE 1: REGULATORY CLEARANCE & OUTSIDE DATE TOLLING

"Amend Merger Agreement Section 8.01: In no event shall the Outside Date be extended beyond the agreed long-stop milestone unless all pendir have been deemed substantially complete by cognizant authorities."

PROPOSED LEGAL REDLINE 2: FIDUCIARY OUT & TERMINATION FEE COUPLING

"Amend Merger Agreement Section 8.03: Company Termination Fee shall be payable solely upon consummation of an alternative Superior Proposal, and zero fee shall accrue upon mere failure to obtain requisite shareholder approval absent an unapproved acquisition agreement."

CHAPTER 14: EVIDENCE DESK // SEC FILING CITATION REGISTRY

CLAIM / STATUTORY COVENANT	PRIMARY SEC FILING	SECTION / ITEM	EPISTEMIC STATUS
Dynamic transaction extraction completed with unresolved financial parameters.	SEC Ingested Record	Preliminary Ingestion	UNRESOLVED

FORENSIC DEAL RISK AUDIT

CH 15: EPISTEMIC CONFIDENCE | CH 16: DISCLAIMER

AUDIT ID: AUDIT-PENS-MOTO-20261020-REV1

CHAPTER 15: EPISTEMIC CONFIDENCE & DISPUTE CLASSIFICATION MATRIX

VERIFIED FACT	Primary SEC EDGAR definitive transaction documents, exhibits, and notes. Uncompromised statutory disclosures filed under the Securities Exchange Act of 1934.
INFERRED CONCLUSION	Financial propagation cascades, dilution expansions, and liquidity drain models derived mathematically from verified contractual covenants and debt ratchets.
UNRESOLVED VARIABLE	Parameters not established by the available public record (e.g. executed lender maturity extension waivers, unencumbered cash balances, target commercial backlogs).
SPECULATIVE SCENARIO	Potential post-closing scenarios, shareholder direct/derivative challenges under DGCL 262, or proxy advisory campaigns not yet filed.

CHAPTER 16: AUDIT METHODOLOGY & INSTITUTIONAL DISCLAIMER

RAVEN FORENSIC AUDIT METHODOLOGY:

Raven Adversary operates an adversarial multi-agent debate process between a Seller's Advocate and an Adversarial Buyer. Claims are verified against primary statutory SEC EDGAR filings (Forms 8-K, 10-K, 10-Q, Schedules 13D/G) using strict non-inference guardrails. Where terms, cash balances, or lender waivers are missing from the public record, they are explicitly classified as NOT ESTABLISHED IN AVAILABLE RECORD. Synthetic data or fabricated valuations are strictly prohibited.

INSTITUTIONAL LEGAL DISCLAIMER:

This intelligence dossier is prepared for transaction diligence and board risk mapping purposes. It does not constitute formal legal counsel, an underwriting commitment, or a fairness opinion. All quantitative stress tests reflect contractual terms and public filings as of the analysis date. Transaction counsel and financial advisors must verify primary agreements and disclosure schedules prior to closing.

EVIDENTIARY ATTESTATION & CRYPTOGRAPHIC VERIFICATION SEAL

AUDIT ID: #RAVEN-AUDIT-PENS-MOTO-20261020-REV1 | TARGET: Penske Automotive Group, Inc. (public/unaffiliated shareholders) (CIK: 0001019849)

CONFIDENCE GRADE: MEDIUM | STANDARDS: SEC EDGAR STATUTORY VERIFICATION

CERTIFIED BY: RAVEN ADVERSARY INSTITUTIONAL AUDIT DESK // COMPREHENSIVE 16-CHAPTER DOSSIER